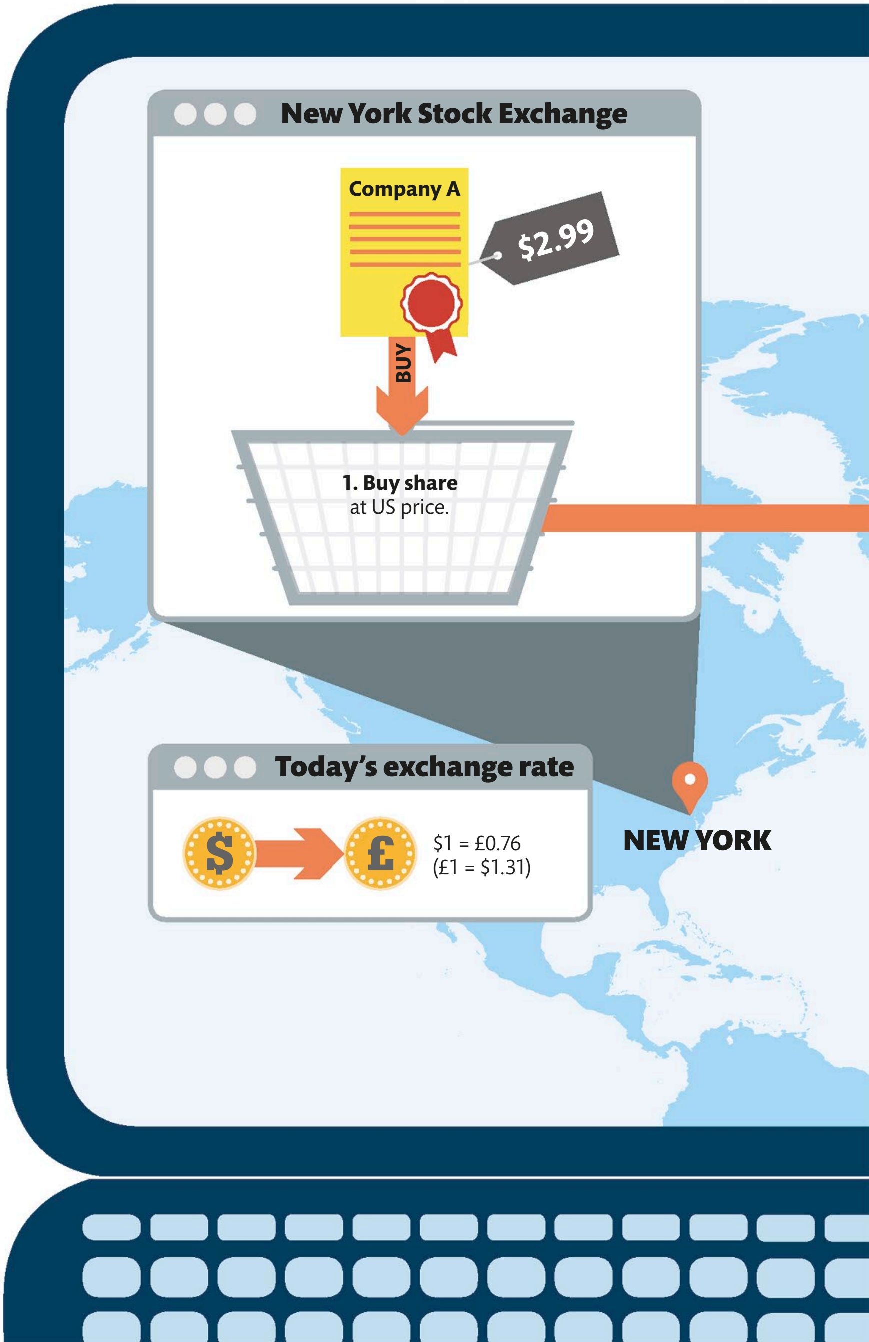
Arbitrage

When there are price differences between two similar assets being traded on different exchanges across the world, traders may seek to take advantage of the discrepancy in order to make a profit. This practice is known as arbitrage.

Transatlantic trades

When a company is listed on both the UK and US exchanges, arbitrage may be possible. For example, if a trader can buy shares in Company A on the US exchange for $2.99 each and sell them on the UK exchange for £2.30 each, which was equal to $3.01, the trader will make a profit of $0.02 per share. In practice, arbitrage works by exploiting small price differences such as these at high volumes, using computer programs to trade almost instantaneously. These trades take place so quickly that the biggest profits are made by the organizations with the fastest computers.



HIGH-FREQUENCY TRADERS (HFT)

Computing power enables HFT to search the markets for tiny anomalies to exploit. A computer program automatically evaluates and carries out a large number of trades at high speeds—faster than any person could do. It is possible to make a lot of money from very small price differences in this way.